

Chapter:03 The Environment and Culture of Organizations

Organizational Environment: An organizational environment is composed of forces or institutions surrounding an organization that affect performance, operations, and resources. Learn more about the definition, importance, and process of organizational environments in this lesson.

The organization and its environments



Figure 3.1

External Environment of Organization

In a simple way factors outside or organization are the elements of external environment. Organization has no control of how the external environment elements will shape up. The external environment can be subdivided in 2 layers: the general environment and the task environment.

1. General Environment
2. Task Environment

General Environment of Organization

The general environment consists of factors that may have an immediate direct effect on operations but nevertheless influences the activities of the firm.

The dimensions of the general environment are broad and non-specific whereas the dimensions of the task environment are composed of specific organization.

Let's see the elements or dimensions of the general environment.

1. **Economic Dimension:** the economic dimension of an organization is the overall status of the economic system in which the organization operates. The important economic factors for business are inflation, interest rates and unemployment. These factors of economy always affect the demand for products. During inflation, company pays more for its resources and to cover the higher costs for it, they raise commodity prices.

When interest rates are high, customers are less willing to borrow money and the company itself must pay more when it borrows. When unemployment is high, the company is able to be very selective about whom it hires, but customers' buying power is low as fewer people are working.

2. **Technological Dimension:** it denotes to the methods available for converting resources into products or services. Managers must be careful about the technological dimension.

Investment decision must be accurate in new technologies and they must be adaptable with them.

3. **Socio-cultural dimension:** customs, mores, values, and demographic characteristics of the society in which the organization operates are what made up the socio-cultural dimension of the general environment. Socio-cultural dimension must be well studied by a manager. It indicates the product, services, and standards of conduct that the society is likely to value and appreciate. Standard of business conduct vary from culture to culture and so does the taste and necessity of products and services.

4. **Political-Legal Dimension:** the politico-legal dimension of the general environment refers to the government law of business, business-government relationship and the overall political and legal situation of a country. Business laws of a country set the do's and don'ts of an organization. A good business-government relationship is essential of the economy and most importantly for the business. And overall situation of law implementation and justices in a country indicates that there is a favorable situation in of business in a country.
5. **International Dimension:** virtually every organization is affected by the international dimension. It refers to the degree to which an organization is involved in or affected by businesses in other countries. Global society concept has brought all the nation together and modern network of communication and transportation technology, almost every part of the world is connected.

Task Environment Of Organization

The task environment consists of factors that directly affect and are affected by the organization's operations. These factors include suppliers, customers, competitors, regulators and so on.

A manager can identify environmental factors of specific interest rather than having to deal with more abstract dimension of the general environment. The different elements of task environment may be discussed as under:

1. **Competitors:** policies of the organization are often influenced by the competitors. A competitive market place companies are always trying to stay and go further ahead of the competitors. In the current world economy, the competition and competitors in all respects has increased tremendously. The positive effect of this is that the customers always have options and the overall quality of products goes high.
2. **Customers:** "satisfaction of customer"- primary goal of every organization. Customer is who pays money for organization's product or services. They are the peoples who hands them the profit that the companies are targeting. Managers should pay close attention to the customers' dimension of the task environment because its customers purchase that keeps a company alive and sound.
3. **Suppliers:** suppliers are the providers of production or service materials. Dealing with suppliers is an important task of management. A good relationship between the organization and the suppliers is important for organization to keep a steady follow of quality input materials.
4. **Regulators:** regulators are units in the task environment that have the authority to control, regulate or influence an organization's policies and practices. Government agencies are the main player of the environment and interest groups is created by its members to attempt to influence organizations as well as government. Trade unions and chamber of commerce are the common example of interest group.
5. **Strategic Partners:** they are the organization and individuals with whom the organization is in an agreement or understanding for the benefit of the organization. These strategic partners in some way influence the organizations activities of in various ways.

Internal Environment of Organization

Forces or conditions or surroundings within the boundary of the organization are the elements of internal environment of organization.

The internal environment consists mainly of the organization's owners, board of directors, employees and culture.

1. **Owners:** Owners are people who invested in company and have property rights and claims on the organization. Owners can be an individual or group of person who started the company; or who bought a share of the company in the share market. They have the right to change the company's policy at any time.
2. **Board of Directors:** The board of directors is the governing body of the company who are elected by stockholders, and they are given the responsibility of overseeing a firm's top managers such as general manager.
3. **Employees:** Employees or the workforce, the most important element of organizations internal environment, who performs the tasks of the administration. Individual employees and also the labor unions they join are important parts of the internal environment. If managed properly they can positively change the organizations policy. But ill-management of the workforce could lead to a catastrophic situation for the company.
4. **Culture:** Organizational culture is the collective behavior of members of an organization and the values, visions, beliefs, habits that they attach to their actions. An organization's culture plays a major role in shaping its success, because culture is an important determinant of how well their organization will perform.

Organizational culture: Organizational Culture is a system of shared assumptions, values, and beliefs, which governs how people behave in organizations. These shared values have a strong influence on the people in the organization and dictate how they dress, act, and perform their jobs.

Organization and Environment Relationships

Organizations are open systems and must relate to their environments. They must acquire the resources

and information needed to function; they must deliver products or services that are valued by customers.

An organization's strategy--how it acquires resources and delivers outputs--is shaped by particular aspects, and features of the environment.

Thus, organizations can devise a number of responses for managing environmental interfaces, from

internal administrative responses, such as creating special units to scan the environment, to external

collective responses, such as forming strategic alliances with other organizations.

How Organization Adapt to their Environment

How organizations adapt to their environment?

(a) Information management

(b) Strategic response

(c) Mergers, takeovers, acquisitions and alliances

(d) Organization design and flexibility

e) Direct influence on the environment



1. **Information management:** One way organizations adapt to their environment is through information management. The massive use of IT (Information Technology) and MIS (Management Information System) is a pointer to the overriding importance of information.
2. **Strategic response:** An organization may also adapt to its environment through strategic response. If, for example, a market is shrinking or does not provide reasonable possibilities for growth, the company may decide to cut back. On the other hand, if the market that the company currently serves is growing rapidly, the firm might decide to invest more heavily in products and services for that market.
3. **Mergers, takeovers, acquisitions and alliances:** A company may engage in these kinds of strategies for a variety of reasons. Such as easing entry into new markets or expanding its presence in a current market.
4. **Organization design and flexibility:** An organization may also adapt to environmental condition by incorporating flexibility in its structural design. Thus a firm, operating in a dynamic and complex environment might choose a design with relatively few standard procedures while allowing managers considerable discretion and flexibility over management decisions. Such an organization can quickly respond to environmental change.
5. **Direct influence on the environment:** Organizations are not necessarily helpless in the face of their environments. Indeed, many organizations are able to directly influence their environment in many different ways, such as:
 - Influencing regulators through lobbying and bargaining.

- Influencing customers through creating new uses for a product and also finding new customers and taking customers away from competitor.
- Influencing suppliers by signing long-term contracts with fixed prices as a hedge against inflation.
- Influencing union through collective bargaining sessions.
- Influencing stock-holders with information contained in annual reports, and by pure persuasion.
- Influencing strategic allies through negotiations and agreements.